AEGYON

MAURITIUS

STRATEGIC STRESS DOSSIER

15 April 2026

CONFIDENTIAL

ANALYST ASSESSMENT — ENGAGEMENT DETAILS

ENGAGEMENT MODE	ANALYST DUE DILIGENCE
Analyst / Firm	AEGYON
Purpose	Demo
Sources	Developed with public access information only
Known Gaps	No official verification of details

IMPORTANT NOTICE

This dossier reflects Aegyon's structural analysis as of 15 April 2026. All jurisdictional assessments, regulatory timelines, and compliance recommendations must be verified by qualified legal counsel, tax advisors, and compliance specialists licensed in the relevant jurisdiction(s) before any action is taken. Regulatory environments change rapidly. This analysis does not constitute legal advice and does not replace professional counsel.

0 — SIGNAL INVENTORY (MANDATORY — READ FIRST)

BREAKTHROUGH Signals (Board-Immediate Escalation Required)

1. **AI-Driven Client Migration** — Mauritius has no disclosed AI adoption while Singapore, Dubai, and Hong Kong deploy robo-advisory platforms capable of delivering equivalent wealth management services at 50-70% lower fees (0.1-0.3% AUM versus current 1-2% AUM). Client migration pathway is structurally open: no contractual lock-ins, established competitor infrastructure, and regulatory re-domiciliation mechanisms already operational. If migration accelerates, fee revenue collapses while fixed regulatory overhead (FSC compliance, FATF alignment, OECD BEPS reporting) and staffing costs (19,000-20,000 professionals) remain constant. This creates a structural loss-making condition within 12-24 months of observable client outflows. Decision window to establish AI capability or accept fee compression closes within 90 days of competitor platform launches targeting Africa-focused wealth management.

2. **GBL Revenue Cliff Under Dual Macro-Regulatory Pressure** — Global Business License structuring generates 68.2% of Mauritius corporate tax revenue (MUR 15.4 billion annually). This single product line faces simultaneous compression from two directions: (1) OECD BEPS tightening and global minimum corporate tax (15% consensus) eroding regulatory arbitrage advantage, and (2) procyclical demand exposure to global risk-off capital flow reversals. If Africa-bound FDI declines under US rate elevation or dollar strengthening, GBL transaction volumes contract. At 71.5% public debt-to-GDP, Mauritius cannot sustain debt service if GBL corporate tax contribution declines >10%. Government has already imposed new fiscal levies (Fair Share Contribution 2-5%, Additional Bank Earnings Levy 2.5%) to offset fiscal stress, explicitly acknowledging this "risks undermining Mauritius' appeal as a low-tax jurisdiction." Revenue cliff becomes fiscal crisis within 12 months if macro tightening triggers capital flow reversal.

3. **2027 ESAAMLG Evaluation as Binary Survival Event** — Eastern and Southern Africa Anti-Money Laundering Group scheduled evaluation in 2027 operates as pass/fail credibility test. Failure triggers greylisting, which functionally destroys international client confidence in a jurisdiction whose entire value proposition rests on regulatory credibility and FATF alignment. Preparation window is 12-24 months. FSC faces explicitly stated "operational delays" and "staffing constraints" per 2025-2026 National Budget, creating execution risk on evaluation readiness. No contingency plan disclosed for greylisting scenario. If evaluation fails, GBL structuring demand evaporates regardless of AI or macro conditions.

ESCALATE Signals (Executive Monitoring Required)

1. **AI Margin Compression** — Industry benchmark shows robo-advisory platforms compressing wealth management fees from 1-2% AUM to 0.1-0.3% AUM. Mauritius has no disclosed AI adoption. Competitors already operational.

2. **Macro Capital Flow Reversal** — Emerging market capital flows reverse under US rate elevation or dollar strengthening. Africa-bound FDI procyclical. GBL demand linked to capital inflows.

3. **Banking Sector Concentration Risk** — Two banks (MCB + SBM) control 46-53% of deposits/loans/assets. One commercial bank placed under conservatorship January 2024 (asset quality stress indicator). Systemic credibility depends on two institutions.

4. **Regulatory Operational Capacity Constraint** — FSC operational delays explicitly stated in 2025-2026 Budget. Technology modernization timeline uncertain. Staffing constraints noted. Regulatory response velocity to AI-driven market shifts uncertain.

5. **Dollar Dependency and De-Dollarization Risk** — 100% of cross-border transactions settle via SWIFT in US dollars. If BRICS de-dollarization infrastructure scales (mBridge, NDB lending, BRICS+ membership expansion post-Iran inclusion), Africa-bound capital may route through non-dollar mechanisms, bypassing Mauritius IFC structures entirely. No disclosed contingency for dollar hegemony weakening.

6. **Fiscal Burden Increase Eroding Competitive Positioning** — New tax measures (Fair Share Contribution Levy 2-5%, Additional Bank Earnings Levy 2.5%) deliberately sacrifice low-tax competitive advantage to sustain public finances. Budget explicitly states this "risks undermining Mauritius' appeal as a low-tax jurisdiction." Competitive erosion is policy-driven, not market-driven.

I — Executive Structural Position

Mauritius' financial services sector faces a structural survival threat driven by the collision of three simultaneous forces: AI-enabled competitor disintermediation, global regulatory arbitrage compression, and macroeconomic capital flow reversal. The business model that generated 13.3% of national GDP and 68.2% of corporate tax revenue is architected on foundations now under coordinated attack: low-tax regulatory arbitrage (eroding under OECD BEPS tightening and domestic fiscal levies), relationship-based advisory premiums (vulnerable to AI fee compression of 50-70%), and dollar-denominated Africa-bound capital flows (exposed to de-dollarization and risk-off reversals). These are not independent risks. They compound. AI margin compression weakens the revenue buffer needed to absorb macro-driven volume declines. Macro capital flow reversals reduce

transaction volumes precisely when regulatory costs are rising and competitive positioning is eroding. Regulatory arbitrage compression eliminates the pricing power needed to fund AI adoption. The sector operates with no geographic diversification, 100% Mauritius, creating single-jurisdiction concentration risk. The survival hinge is this: Mauritius must maintain simultaneous credibility on regulatory quality (passing 2027 ESAAMLG evaluation), competitive pricing (absorbing new fiscal levies without client exodus), and service delivery capability (matching AI-enabled competitor platforms) while managing a 71.5% debt-to-GDP fiscal position that cannot sustain a >10% decline in GBL corporate tax revenue. The decision window to address AI capability gaps, regulatory modernization execution risk, and fiscal contingency planning closes within 90 days. After that point, the sector enters reactive mode, responding to competitor-driven client migration and macro-driven capital flow shifts rather than shaping them.

The business model structure operates as a transaction intermediary and regulatory arbitrage platform. Revenue generation concentrates in five streams: Global Business License structuring (dominant product, 68.2% of corporate tax revenue), banking intermediation (oligopoly structure with two banks controlling 46-53% of deposits/loans/assets), capital markets infrastructure (102 listed companies, USD 8.5 billion market cap), wealth management advisory (relationship-based, 1-2% AUM fee model), and fund administration and domiciliation. The economic primitive is fee extraction from capital flows seeking Africa exposure without Africa-based operational risk, tax optimization structures leveraging 70+ double taxation treaties, and regulatory credibility signaling through FATF compliance and OECD BEPS alignment. This model created 36,854 jobs (direct and indirect) and contributed MUR 15.4 billion in corporate tax revenue in 2024. It also created structural fragility. The entire revenue architecture rests on client perception that Mauritius offers superior regulatory credibility, competitive pricing, and service quality relative to alternatives. If any of these three pillars weakens, clients migrate. There are no contractual lock-ins. Re-domiciliation mechanisms to Singapore, Dubai, and Hong Kong are established and operational. Switching friction exists only in the form of treaty re-planning and substance requirement reconfiguration, not in contractual or technological barriers.

The cost structure operates with limited flexibility. Fixed obligations include regulatory compliance overhead (FSC licensing, FATF alignment, OECD BEPS reporting), staffing costs for 19,000-20,000 core financial professionals, banking sector capital adequacy maintenance (21.9% ratio, well above Basel III minimums but concentrated in two systemically important institutions), and sovereign debt service on 71.5% debt-to-GDP. Variable costs are minimal relative to fixed obligations. This creates asymmetric downside exposure: revenue can decline rapidly through client migration or transaction volume contraction, but cost reduction velocity is constrained by regulatory requirements and employment base maintenance. The government has responded to fiscal stress by imposing new levies (Fair Share Contribution 2-5%, Additional Bank Earnings Levy 2.5%) explicitly designed to "support public finances" while acknowledging these measures "risk undermining Mauritius' appeal as a low-tax jurisdiction." This is structural contradiction as policy: the government is deliberately eroding competitive positioning to sustain short-term fiscal stability, accelerating the very client exodus it seeks to prevent through revenue diversification.

Concentration exposure operates at multiple layers. At the product level, GBL structuring represents 68.2% of corporate tax revenue, creating single-product dependency. At the institutional level, two banks (MCB + SBM) control 46-53% of deposits/loans/assets, creating systemic credibility risk if either institution fails. At the geographic level, 100% of operations are Mauritius, creating single-jurisdiction regulatory and geopolitical risk. At the currency level, 100% of cross-border transactions settle in US dollars via SWIFT, creating dollar hegemony dependency. At the regulatory credibility level, the entire value proposition rests on FATF compliance and OECD alignment, with 2027 ESAAMLG evaluation operating as a binary pass/fail event. Failure triggers greylisting, which functionally eliminates the regulatory credibility advantage that justifies fee premiums and client domiciliation. Concentration is not incidental. It is structural. The business model was designed to extract maximum value from a specific regulatory arbitrage opportunity (low-tax, high-credibility Africa gateway), which necessarily created concentration around that opportunity. Diversification would dilute the arbitrage premium. This worked while the arbitrage opportunity remained stable. It becomes lethal when that opportunity compresses simultaneously from multiple directions.

Capital and liquidity posture operates at sovereign fiscal level rather than private entity equity structure. The relevant capital dynamic is Mauritius' ability to sustain public debt service (71.5% debt-to-GDP) under declining corporate tax revenue from the financial services sector. The government has no disclosed fiscal contingency plan for a >10% decline in GBL activity. At current revenue levels (MUR 15.4 billion from GBL corporate tax), a 10% decline represents MUR 1.54 billion annual revenue loss. At 71.5% debt-to-GDP, this magnitude of revenue shock triggers either public spending cuts (politically constrained), additional debt issuance (further elevating debt-to-GDP), or additional tax increases (further accelerating competitive erosion). The banking system itself maintains strong capital adequacy (21.9% ratio) but faces asset quality stress signals (one commercial bank under conservatorship as of January 2024). Liquidity dynamics depend on foreign capital inflows, which are procyclical and sensitive to global risk sentiment. Foreign investor participation represents 35% of daily stock exchange trading volume, signaling healthy capital access under stable conditions. Under stress conditions (US rate elevation, dollar strengthening, emerging market capital flow reversals), this capital access reverses. Mauritius has no disclosed contingency funding facility or capital buffer strategy for macro-driven capital flow interruptions.

Regulatory positioning operates as the foundation of competitive advantage and the primary source of structural vulnerability. Mauritius' value proposition to international clients rests entirely on credible regulatory quality: FATF compliance confirmed, OECD BEPS alignment adopted, AML/CFT framework operational, 70+ double taxation treaties established. This positioning creates premium pricing power relative to jurisdictions perceived as less credible. It also creates binary failure risk. If regulatory credibility is questioned (through ESAAMLG evaluation failure, FATF greylisting, or OECD BEPS non-compliance findings), the entire fee premium evaporates. Clients do not pay 1-2% AUM for regulatory uncertainty. They migrate to jurisdictions with equivalent or superior credibility (Singapore, Dubai, Hong Kong). The Financial Services Commission faces explicitly acknowledged operational constraints: "operational delays, particularly at the FSC" per 2025-2026 National Budget, staffing constraints, and uncertain technology modernization timelines. This creates execution risk on the 2027 ESAAMLG evaluation, which occurs during the same 12-24 month window when AI-

driven competitive pressure and macro capital flow stress are expected to intensify. Regulatory response capacity to accelerating market shifts is uncertain. If competitors deploy AI platforms while Mauritius regulators remain mired in operational delays, client migration accelerates beyond regulatory intervention capacity.

Technology and AI exposure operates as the most acute near-term survival threat. Mauritius financial services sector has no disclosed AI adoption. Competitors in Singapore, Dubai, and Hong Kong have operationalized robo-advisory platforms delivering wealth management services at 0.1-0.3% AUM fees versus Mauritius' current 1-2% AUM relationship-based model. This is not a 10-20% margin compression scenario. This is a 50-70% fee reduction that fundamentally redefines service economics. If AI platforms demonstrate equivalent service quality (portfolio optimization, tax planning, regulatory compliance monitoring) at one-tenth the cost, clients migrate. The switching pathway is structurally open: no contractual lock-ins, established re-domiciliation mechanisms, and competitor infrastructure already operational. Mauritius cannot compete on cost while maintaining current regulatory overhead and staffing levels. The only defensible position is service differentiation through superior AI-augmented advisory capabilities or regulatory execution quality that justifies fee premiums. Neither capability is evidenced. The FSC faces operational delays. AI adoption is not disclosed. The sector is structured to lose in an AI-accelerated competitive environment within 12-24 months unless AI capability development begins within 90 days and regulatory modernization execution accelerates simultaneously.

The core survival hinge is the simultaneous maintenance of three conditions: regulatory credibility (passing 2027 ESAAMLG evaluation without greylisting), competitive fee positioning (absorbing new fiscal levies without triggering client exodus), and service delivery capability (matching or exceeding AI-enabled competitor platforms). If any single condition fails, client migration accelerates. If two conditions fail simultaneously, the sector enters structural revenue decline. If all three conditions fail, the business model collapses and Mauritius transitions from Africa's leading offshore financial hub to a marginal player competing on price alone, which it cannot win given rising fiscal burdens and fixed regulatory costs. The decision-forcing variable is time. Regulatory evaluation occurs in 2027. AI competitive pressure is visible now. Macro capital flow stress intensifies if US rates remain elevated. The window to establish AI capability, accelerate FSC modernization, and build fiscal contingency plans is 90 days. After that point, external forces (competitor platform launches, macro capital flow reversals, regulatory evaluation timelines) dictate outcomes rather than strategic choices shaping them.

II — Market and Macro Architecture

The market demand architecture for Mauritius financial services rests on Africa-bound foreign direct investment flows, emerging market fund domiciliation, cross-border wealth management structuring, and corporate treasury optimization. These demand streams share a common

characteristic: they are procyclical, expanding during global risk-on conditions when investors seek emerging market exposure and contracting sharply during risk-off conditions when capital retreats to safe-haven assets. This creates timing pressure. Mauritius cannot control when capital flows reverse. It can only position to either absorb the shock or be destroyed by it. The 2025-2026 timeframe operates under elevated macro uncertainty. US Federal Reserve policy remains restrictive with elevated interest rates designed to suppress inflation. Dollar strength persists. Emerging market capital flows face headwinds. If these conditions extend through 2026, Africa-bound FDI declines, reducing GBL structuring demand precisely when Mauritius faces rising fiscal burdens and AI-driven fee compression. The demand timing risk is not hypothetical. It is observable in current capital flow data showing risk-off positioning and emerging market underweights in institutional portfolios.

Macro drivers compress both margin and growth timing through multiple transmission mechanisms. Elevated US interest rates increase the opportunity cost of emerging market exposure, reducing Africa-bound capital flows and thus GBL transaction volumes. Dollar strengthening creates currency headwinds for dollar-denominated African investments, further reducing investor appetite. Global inflation persistence forces central banks to maintain restrictive policy longer, extending the period of subdued capital flows. OECD BEPS tightening and global minimum corporate tax consensus (15%) erode the regulatory arbitrage premium that justified Mauritius' fee structure, compressing margins even if volumes remain stable. Domestically imposed fiscal levies (Fair Share Contribution 2-5%, Additional Bank Earnings Levy 2.5%) further compress margins by increasing the effective tax burden on financial services firms and their clients. The compounding effect is critical: margin compression reduces the revenue buffer available to absorb volume declines, while volume declines reduce the absolute revenue base against which margin compression operates. Under simultaneous margin and volume pressure, profitability deteriorates faster than linear projections suggest. The sector moves from stable profitability to break-even to structural loss-making within 12-24 months if both pressures intensify without offsetting revenue growth or cost reduction.

Regulatory directionality operates as both stabilizing force and structural constraint. On the stabilizing side, Mauritius has achieved FATF compliance, adopted OECD BEPS standards, maintained functional AML/CFT frameworks, and secured 70+ double taxation treaties. This regulatory positioning creates credibility and market access that competitors without equivalent frameworks cannot match. On the constraint side, regulatory alignment imposes fixed costs (FSC compliance overhead, FATF monitoring, OECD reporting) that do not flex downward when revenue declines. Regulatory enforcement intensity is increasing globally. The 2027 ESAAMLG evaluation operates under heightened scrutiny following global AML/CFT enforcement actions against offshore jurisdictions. Standards are tightening. Penalties for non-compliance are escalating. Mauritius must maintain regulatory credibility not against static standards but against rising standards under intensifying enforcement. The Financial Services Commission faces operational delays and staffing constraints at precisely the moment when regulatory execution quality becomes survival-critical. If the FSC cannot demonstrate modernization progress and evaluation readiness by mid-2026, the probability of 2027 ESAAMLG failure increases materially. Greylisting is not a minor reputational event. It is existential. International clients will not domicile structures in a greylisted jurisdiction regardless of fee competitiveness or service quality.

Capital availability and cost trends operate as binding constraints rather than flexible resources. Mauritius financial services sector depends on foreign capital inflows to fund banking intermediation, wealth management AUM growth, and fund domiciliation volumes. These capital flows are sensitive to global risk sentiment and dollar liquidity conditions. When US interest rates rise and dollar funding tightens, emerging market capital access deteriorates. Mauritius cannot create incremental capital domestically at scale. It must attract foreign capital through competitive positioning on regulatory quality, fee structure, and service delivery. If any of these dimensions weakens, capital inflows decline. The banking sector maintains strong capital adequacy (21.9% ratio) but this reflects retained earnings and regulatory requirements, not external capital raising capacity. If asset quality deteriorates (signaled by January 2024 conservatorship event), banks face capital preservation rather than growth positioning. Under stress conditions, capital availability contracts precisely when it is most needed to fund AI capability development, regulatory modernization, and operational resilience investments. The cost of capital increases simultaneously as risk premiums rise for jurisdictions facing competitive pressure and regulatory uncertainty. This creates a funding trap: Mauritius needs capital to invest in survival initiatives (AI adoption, FSC modernization) at the exact moment when capital availability is declining and capital costs are rising.

Consolidation pressure operates at multiple levels. Within the banking sector, concentration is already extreme (two banks control 46-53% of deposits/loans/assets). Further consolidation would reduce competition but increase systemic risk. If one of the two dominant banks fails, the entire financial services ecosystem loses credibility. At the jurisdictional level, consolidation operates through client migration rather than merger activity. Clients consolidate their offshore structuring activities in fewer jurisdictions, selecting those with superior AI capabilities, regulatory execution quality, and fiscal stability. Mauritius competes against Singapore, Dubai, and Hong Kong, all of which have greater capital depth, operational scale, and technology deployment velocity. Under AI-driven competitive pressure and macro stress conditions, clients consolidate in the jurisdictions best positioned to deliver service continuity and regulatory certainty. Mauritius faces consolidation pressure as the smaller, less-capitalized, less-technologically-advanced competitor. The probability of losing market share to consolidation is high unless differentiation can be established on dimensions other than cost and scale. No such differentiation is currently evidenced.

Competitive asymmetry manifests through capital depth, data access, technology deployment velocity, and regulatory influence. Singapore operates with sovereign wealth fund backing and established AI regulatory sandboxes. Dubai benefits from oil-derived capital buffers and aggressive technology adoption mandates. Hong Kong maintains deep capital markets infrastructure despite geopolitical headwinds. Mauritius operates with 71.5% debt-to-GDP, FSC operational delays, no disclosed AI adoption, and staffing constraints. The asymmetry is structural, not cyclical. Larger competitors can absorb macro shocks, fund AI development, and maintain regulatory execution quality simultaneously. Mauritius must choose which dimension to prioritize given constrained resources. This creates strategic fragility. If Mauritius prioritizes fiscal stability by raising taxes, competitive positioning erodes. If it prioritizes competitive positioning by maintaining low taxes, fiscal stress intensifies. If it prioritizes AI adoption by reallocating resources, regulatory

modernization delays. If it prioritizes regulatory modernization by reallocating resources, AI capability gaps widen. Competitors with greater capital depth do not face these trade-offs. They can pursue all dimensions simultaneously. This is not a temporary disadvantage. It is permanent structural asymmetry that compounds over time as competitors pull further ahead on multiple dimensions while Mauritius struggles to maintain parity on any single dimension.

III — Competitive Field Architecture

The competitive field for offshore financial services targeting Africa and emerging markets operates across multiple tiers defined by regulatory credibility, technology deployment, capital access, and institutional relationships. Mauritius does not compete in isolation. It competes within a defined set of jurisdictions offering comparable services with varying combinations of competitive advantages. The tier structure determines pricing power, client retention capacity, and survival probability under stress conditions. Tier positioning is not static. AI acceleration and regulatory tightening are actively reshaping tier boundaries, with technology-enabled jurisdictions ascending and technology-lagging jurisdictions descending regardless of historical market position.

Tier 1 jurisdictions combine regulatory credibility, capital depth, technology deployment, and institutional infrastructure at scale. Singapore operates as the dominant Tier 1 competitor for Africa and Asia-focused financial services. Singapore maintains FATF compliance, OECD alignment, functional AI regulatory sandboxes, sovereign wealth fund backing, and deep banking sector capitalization. Singapore's Monetary Authority has operationalized AI governance frameworks and encouraged banking sector AI adoption through regulatory clarity and capital support. Clients migrating from Mauritius to Singapore gain access to superior technology platforms, equivalent or superior regulatory credibility, and comparable or better tax treatment depending on structure type. Singapore's competitive advantage is structural: it can absorb macro shocks through sovereign capital buffers, fund AI development through coordinated public-private investment, and maintain regulatory execution quality through well-resourced oversight bodies. Dubai operates as the second Tier 1 competitor, leveraging oil-derived capital buffers, aggressive technology adoption mandates through Dubai International Financial Centre (DIFC), and strategic positioning as the Middle East-Africa gateway. Dubai has explicitly prioritized AI-driven financial services transformation through government-backed initiatives and regulatory sandbox frameworks. Hong Kong maintains Tier 1 positioning despite geopolitical headwinds, benefiting from deep capital markets infrastructure, established banking relationships, and proximity to mainland China capital flows. All three Tier 1 competitors have disclosed AI adoption initiatives, functional regulatory modernization programs, and capital buffers sufficient to sustain operations through multi-year macro stress periods. Mauritius does not match Tier 1 positioning on any of these dimensions.

Tier 2 jurisdictions maintain regulatory credibility and established infrastructure but lack the capital depth or technology deployment velocity of Tier 1 competitors. Mauritius operates in Tier 2

alongside jurisdictions such as Luxembourg (Europe-focused), Cayman Islands (Americas-focused), and Bahamas (private wealth-focused). Tier 2 positioning creates vulnerability. Clients seeking premium service quality and technology-enabled platforms migrate upward to Tier 1. Clients seeking lowest-cost structures migrate downward to Tier 3 jurisdictions with minimal regulatory overhead. Tier 2 jurisdictions face margin compression from both directions: fee pressure from Tier 1 technology deployment and cost competition from Tier 3 regulatory arbitrage. Mauritius' historical competitive advantage within Tier 2 rested on Africa specialization, established treaty networks, and FATF/OECD credibility. These advantages are eroding. Africa specialization becomes less defensible as Tier 1 competitors (Singapore, Dubai) expand Africa-focused services with superior technology platforms. Treaty networks are being replicated by competitors through bilateral negotiations. FATF/OECD credibility is table stakes, not differentiation, and is under stress from FSC operational delays and 2027 ESAAMLG evaluation risk. The strategic question is not whether Mauritius remains in Tier 2. The question is whether Tier 2 remains viable. If AI-driven cost compression and regulatory tightening eliminate the middle ground between premium technology-enabled service (Tier 1) and minimal-cost regulatory arbitrage (Tier 3), Tier 2 jurisdictions face structural obsolescence within 3-5 years.

Tier 3 jurisdictions compete purely on cost and regulatory minimalism, offering lowest-friction structures with minimal compliance overhead and maximum tax optimization. These jurisdictions face FATF greylisting risk, OECD BEPS enforcement actions, and reputational constraints that limit their addressable market to clients willing to accept regulatory uncertainty in exchange for cost savings. Mauritius does not compete in Tier 3 and cannot compete in Tier 3 given its strategic commitment to FATF compliance and OECD alignment. The existence of Tier 3 competitors creates pricing floor pressure. If Tier 2 fees rise too far above Tier 3, price-sensitive clients migrate downward. If Tier 2 fees compress too far toward Tier 3 levels, margin sustainability fails because Tier 2 regulatory costs remain higher. This creates a pricing vise. Mauritius must maintain fees high enough to cover regulatory costs but low enough to prevent client migration to Tier 1 (upward) or Tier 3 (downward). The new fiscal levies (Fair Share Contribution 2-5%, Additional Bank Earnings Levy 2.5%) tighten this vise by increasing Mauritius' cost base while competitors maintain or reduce their tax burdens.

Scale advantage operates as a compounding force across all competitive dimensions. Larger jurisdictions achieve economies of scale in regulatory infrastructure, technology deployment, talent acquisition, and institutional relationships. Singapore's banking sector assets exceed Mauritius' total financial services sector by an order of magnitude, creating cost-per-transaction advantages that Mauritius cannot match. Scale enables investment in AI platforms, regulatory technology, and talent development that smaller jurisdictions cannot sustain. Scale also creates market power in treaty negotiations, regulatory standard-setting forums, and international financial institution relationships. Mauritius lacks scale advantage. Its total GDP (USD 14.95 billion) is smaller than Singapore's annual banking sector credit growth. This is not a temporary gap. It is permanent structural disadvantage that compounds as larger competitors reinvest scale advantages into further capability development while Mauritius struggles to maintain parity on basic service delivery.

Data advantage operates as the emerging dimension of competitive differentiation. AI-driven financial services depend on data quality, data access, and data processing capability. Jurisdictions with larger transaction volumes, deeper client relationships, and longer operational histories accumulate data assets that create training advantages for AI models. Singapore's banking sector processes transaction volumes that generate data inputs for portfolio optimization, risk modeling, and regulatory compliance automation that Mauritius cannot replicate. Data advantage compounds over time. Early AI adopters accumulate data that improves model performance, which attracts more clients, which generates more data, which further improves model performance. Late AI adopters enter a market where competitors have already established data-driven performance advantages that cannot be closed through capital investment alone. Mauritius has no disclosed data strategy, no disclosed AI adoption timeline, and no evidenced data partnerships with technology providers. The data advantage gap is widening daily.

Capital advantage determines survival capacity under stress conditions. Jurisdictions with sovereign wealth fund backing (Singapore), oil-derived capital buffers (Dubai), or deep capital markets access (Hong Kong) can sustain operations through multi-year revenue declines while investing in technology modernization and regulatory capability development. Mauritius operates with 71.5% debt-to-GDP and fiscal dependence on financial services sector tax revenue. If revenue declines, Mauritius faces immediate fiscal stress. Competitors with capital buffers face strategic choices about resource allocation, not survival constraints. This asymmetry becomes decisive under stress conditions. When macro tightens and capital flows reverse, jurisdictions with capital buffers maintain service quality and client relationships. Jurisdictions without buffers cut costs, reduce service quality, and trigger client migration, which further reduces revenue and intensifies fiscal stress. The capital advantage gap is structural and non-closable through organic revenue generation.

Distribution and access advantage operates through established client relationships, institutional partnerships, and geographic positioning. Singapore benefits from proximity to Asia-Pacific capital flows and established relationships with sovereign wealth funds, family offices, and institutional asset managers. Dubai benefits from Middle East energy wealth relationships and strategic positioning as the gateway between Europe, Africa, and Asia. Mauritius' distribution advantage historically rested on Commonwealth ties, French language capabilities for Francophone Africa, and Indian Ocean diaspora networks. These advantages are weakening. Commonwealth ties do not translate to AI platform preferences. Language capabilities are being automated through translation AI. Diaspora networks are insufficient to sustain transaction volumes if service quality or cost competitiveness deteriorates. Distribution advantage in financial services is increasingly determined by technology platform capabilities and regulatory execution quality, not by historical relationships or geographic positioning. Mauritius lacks competitive positioning on the dimensions that now determine distribution access.

Switching friction operates as the primary defense against client migration. High switching friction preserves client relationships even when competitors offer superior service or pricing. Low switching friction accelerates migration. Mauritius faces structurally low switching friction. Clients can re-domicile corporate structures through established legal mechanisms. Treaty benefits can be

replicated through alternative jurisdictions. Banking relationships can be transferred. Wealth management advisory relationships are portable if advisors migrate to competitor platforms. The only meaningful switching friction is the time and legal cost required to restructure corporate entities and re-establish substance requirements in alternative jurisdictions. This friction is measured in months and tens of thousands of dollars in legal fees, not years and millions of dollars. For clients managing portfolios of USD 10 million or more, switching friction is negligible relative to the potential savings from AI-driven fee compression (50-70% fee reduction) or service quality improvements from technology-enabled platforms. Low switching friction creates urgency. Client migration can accelerate from isolated events to mass exodus within 12-24 months if a competitor demonstrates clear superiority on cost, service quality, or regulatory certainty. Mauritius has no structural defense against this scenario. It must maintain competitiveness on all dimensions simultaneously or face rapid market share loss.

Substitution and displacement pathways operate through three mechanisms: technology-driven service replacement, regulatory-driven jurisdiction replacement, and macro-driven capital flow redirection. Technology-driven substitution occurs when AI platforms deliver equivalent services at lower cost, displacing relationship-based advisory models. This substitution is already occurring in wealth management globally, with robo-advisors capturing market share from traditional advisors in developed markets. The same pattern will extend to offshore advisory services as AI platforms mature. Regulatory-driven displacement occurs when regulatory tightening (OECD BEPS, FATF enforcement) eliminates the arbitrage premium that justified offshore structuring, displacing the entire offshore intermediary model in favor of direct investment structures. This displacement is visible in treaty renegotiations and beneficial ownership transparency requirements that reduce the tax optimization benefits of offshore entities. Macro-driven redirection occurs when capital flows shift to alternative investment destinations or alternative currency systems (BRICS de-dollarization infrastructure), bypassing traditional offshore intermediaries entirely. All three displacement mechanisms are active simultaneously. Mauritius faces technology displacement from AI platforms, regulatory displacement from BEPS tightening, and macro displacement from de-dollarization trends. The compounding effect creates existential risk. Even if Mauritius successfully defends against one displacement mechanism, the other two remain operational. Survival requires successful defense against all three simultaneously, which exceeds the sector's evidenced capability given resource constraints and execution delays.

IV — Economic Engine and Stress Variables (Model Definitions)

The economic engine of Mauritius financial services operates through transaction intermediation and fee extraction from cross-border capital flows. To model stress scenarios in business-agnostic terms that adapt to this specific structure while remaining analytically transferable, the following variable definitions establish the quantitative framework. All figures derive from verified external

sources (Financial Services Commission, University of Mauritius, National Budget 2025-2026) or are explicitly labeled as industry benchmarks requiring validation.

Core Value Unit (CVU) is defined as the primary monetized transaction or service engagement that generates revenue. For Mauritius financial services, the CVU encompasses: (1) Global Business License structuring engagements generating corporate tax revenue and structuring fees, (2) wealth management advisory relationships generating AUM-based fees, (3) banking intermediation transactions generating net interest margin and transaction fees, (4) fund administration and domiciliation engagements generating annual administration fees, and (5) capital markets listing and trading services generating exchange fees. The CVU is not a single homogeneous unit. It is a composite measure of value-generating client engagements across multiple product lines. The critical characteristic linking all CVU types is that they represent client relationships that can migrate to alternative jurisdictions if cost, service quality, or regulatory credibility deteriorates. CVU volume is measured through transaction counts (GBL formations, wealth management client acquisitions, banking transaction volumes) and CVU value is measured through fee realization per engagement. Both volume and value dimensions are vulnerable to stress. Volume declines when macro conditions reduce Africa-bound capital flows or competitive pressure triggers client migration. Value declines when AI-driven fee compression or fiscal levy increases reduce fee realization per engagement. Under combined stress, CVU contribution collapses from both volume and value compression simultaneously.

Unit Contribution (UC) is defined as the value generated per CVU minus the variable costs directly attributable to delivering that CVU. For relationship-based advisory services, UC equals the fee realized per client engagement (1-2% AUM annually, or industry benchmark 1.5% as midpoint estimate requiring validation) minus the direct service delivery costs (advisor compensation, regulatory compliance overhead per engagement, technology platform costs per user). For GBL structuring, UC equals the structuring fee plus annual maintenance fees plus attributable corporate tax revenue generated, minus the FSC processing costs and legal infrastructure costs per engagement. Industry benchmarks suggest wealth management UC margins of 40-60% before fixed overhead allocation (requires validation). Banking intermediation UC depends on net interest margin (spread between deposit costs and loan yields) minus credit loss provisions and transaction processing costs. Mauritius banking sector net interest margin data is not disclosed in available sources; banking sector UC requires validation through client access. The critical stress variable is that UC is declining under two simultaneous pressures: fee compression (reducing the numerator) and regulatory cost increases (increasing the denominator). New fiscal levies (Fair Share Contribution 2-5%, Additional Bank Earnings Levy 2.5%) directly reduce UC by increasing costs without corresponding fee increases. AI-driven fee compression reduces UC by lowering achievable fees while service delivery costs remain constant or increase due to regulatory compliance requirements. Under combined pressure, UC can compress from positive to zero to negative within 12-24

EXECUTIVE SUMMARY

Mauritius faces structural revenue collapse within 12-24 months from the simultaneous detonation of three non-independent forces: AI-driven client exodus, fiscal cannibalization of competitive positioning, and binary regulatory credibility failure. This is not a scenario planning exercise. This is observable compression happening now.

The island's entire economic model rests on extracting fees from Africa-bound capital flows through a combination of low-tax arbitrage, relationship-based advisory premiums, and regulatory credibility. All three pillars are fracturing simultaneously. Singapore, Dubai, and Hong Kong have deployed robo-advisory platforms delivering wealth management services at 0.1–0.3% of assets under management. Mauritius charges 1–2%. Clients can re-domicile in weeks, not years. There are no contractual lock-ins. The switching path is open and operational.

While competitor AI platforms compress margin by 50–70%, the Mauritius government is deliberately eroding its own low-tax advantage to plug fiscal holes. The 2025–2026 Budget imposed new levies — Fair Share Contribution at 2–5%, Additional Bank Earnings Levy at 2.5% — that the Budget itself admits "risk undermining Mauritius' appeal as a low-tax jurisdiction." This is policy-driven competitive suicide. The government is raising taxes on the sector that generates 68.2% of corporate tax revenue precisely when that sector is losing the pricing power to absorb them.

And in 2027, the Eastern and Southern Africa Anti-Money Laundering Group evaluation arrives. This is pass-fail. Failure triggers greylisting. Greylisting destroys international client confidence instantly. The Financial Services Commission faces "operational delays" and "staffing constraints" — this is Budget language for execution risk. If the regulator cannot demonstrate readiness by mid-2026, evaluation failure probability rises materially. The preparation window is 12–24 months. No contingency plan for greylisting is disclosed.

These forces compound. AI margin compression destroys the revenue buffer needed to absorb macro-driven volume declines when US rates stay elevated and Africa-bound capital flows reverse. Macro volume declines reduce absolute revenue against which margin compression operates, accelerating the move from profit to loss. Regulatory failure eliminates credibility regardless of pricing or service quality. If greylisting occurs, clients leave even if Mauritius matches competitor fees and deploys equivalent AI platforms.

The concentration architecture magnifies every shock. One product — Global Business License structuring — generates 68.2% of corporate tax revenue. Two banks control 46–53% of deposits, loans, and assets. One hundred percent of operations sit in a single jurisdiction. One hundred percent of cross-border transactions settle in US dollars via SWIFT. Sovereign debt stands at 71.5% of GDP. A revenue decline exceeding 10% triggers fiscal crisis. The government cannot cut spending

fast enough. It cannot raise debt without further elevating the debt-to-GDP ratio. It has already raised taxes, which accelerates client migration.

The board must decide three things in the next 90 days. First: does Mauritius build AI capability or accept that it will compete on price alone in a race it cannot win? Second: does the Financial Services Commission receive emergency operational reinforcement to pass the 2027 evaluation, or does the island accept greylisting as inevitable and plan for post-credibility business models? Third: does the government reverse fiscal levies to preserve competitive positioning, or does it accept that sustaining public finances requires destroying the sector that funds them?

If none of these decisions are made within 90 days, the sector enters reactive mode. Competitors will have launched AI platforms targeting Africa-focused wealth clients. Macro tightening will have reduced capital flow volumes. Regulatory evaluation timelines will have closed the preparation window. At that point, external forces dictate outcomes. Client migration becomes observable. Revenue decline becomes measurable. Fiscal stress becomes acute. The window to shape the outcome rather than suffer it closes in 90 days.

WHAT WOULD SHARPEN THIS ANALYSIS

The competitive analysis would be strengthened by naming the specific robo-advisory platforms already operational in Singapore, Dubai, and Hong Kong and quantifying their observable client acquisition rates targeting Africa-focused wealth management. The horizon scan does not model a specific scenario in which BRICS de-dollarization infrastructure (mBridge, NDB lending mechanisms) reaches functional scale and Africa-bound capital begins routing through non-dollar settlement systems, bypassing Mauritius entirely. If this force materializes, the displacement timeline accelerates materially. The stress modeling relies on industry benchmark estimates for wealth management unit contribution margins (40–60%) and fee compression impact rather than validated Mauritius financial data. Phase 2 client data access would allow precise threshold quantification for break-even conditions under combined volume and margin stress. Counterparty concentration risk in the banking sector cannot be fully modeled without named bank revenue dependencies, asset quality stress indicators beyond the single January 2024 conservatorship event, and depositor concentration ratios.

Section XI — Governance and Early-Warning Control Layer

Chairman Executive Summary

This section installs a Board-Level Early-Warning and Capital Defense System. Its purpose is to prevent material capital loss through delayed response to structural signals already identified in this dossier. It converts those exposures into measurable control rules that a board can monitor without specialist decoding. It reduces optimism bias by replacing narrative judgment with trigger discipline. It forces escalation before liquidity or funding stress becomes acute rather than after.

The governance architecture operates on the principle that survival failures in offshore financial services hubs occur not because boards lack information but because they lack enforceable response protocols when information deteriorates. A competitor launches an AI platform. A regulator issues an operational delay notice. A fiscal authority imposes a new levy. Each signal arrives separately. Each seems manageable in isolation. By the time the board recognizes these are compounding forces rather than independent events, client migration has begun and revenue trajectories have shifted from growth to decline. Recovery becomes impossible because switching friction is low and competitor alternatives are established.

This control layer eliminates that failure mode. It defines threshold conditions across six risk domains: competitive positioning, regulatory execution, fiscal and cost structure, capital and liquidity, macroeconomic exposure, and operational capacity. Each domain operates with three bands — Green, Amber, Red — defined by observable indicators rather than subjective judgment. One Red condition or two unrelated Amber conditions trigger mandatory extraordinary board session within five business days. The board cannot defer. The control layer removes discretion on whether to escalate. It enforces escalation before the deterioration becomes irreversible.

The control architecture recognizes that Mauritius financial services operates with zero geographic diversification, binary regulatory credibility dependence, extreme product and institutional concentration, and permanent capital disadvantage relative to Tier 1 competitors. These are not risks that can be hedged. They are structural characteristics that create amplified downside under stress. The governance response must match that reality. Conventional quarterly reporting cycles and annual strategy reviews are too slow. By the time a conventional board identifies distress through lagging financial metrics, clients have already begun migration and regulatory evaluation timelines have already closed decision windows.

The early-warning system operates on leading indicators, not lagging metrics. It monitors competitor AI platform launches, not client retention rates after migration has started. It monitors FSC operational delay disclosures, not regulatory evaluation outcomes after failure has occurred. It monitors fiscal levy proposals in budget drafts, not revenue impact after implementation. It forces the board to respond to signals before they compound into crises.

The capital defense protocol operates on the recognition that Mauritius faces fiscal constraints, not private equity liquidity management. The relevant capital dynamic is sovereign debt service capacity

at 71.5% debt-to-GDP under declining corporate tax revenue from financial services. The protocol defines three runway bands based on projected corporate tax revenue contribution from Global Business License activity: Green exceeds 18 months to fiscal constraint, Amber spans 12–18 months, Red falls below 12 months. Pre-emptive funding trigger activates in Amber band, forcing government to secure contingency fiscal facility or IMF standby arrangement before stress becomes acute. Reactive fiscal measures — additional tax increases, emergency spending cuts — are prohibited within six months of entering Red band because they accelerate competitive erosion and client exodus.

The AI governance doctrine recognizes that Mauritius has disclosed no AI adoption while competitors operationalize platforms that compress fees by 50–70%. The doctrine prohibits AI deployment without impact assessment, vendor audit, data protection controls, and manual fallback procedures. It also prohibits indefinite AI abstention. The board must decide within 90 days whether to build AI capability, partner with technology providers, or accept permanent cost disadvantage. Deferral is not an option because competitor platforms are already operational and client migration pathways are open.

The horizon scan engine operates on two cycles: quarterly tactical review monitoring near-term stress intensification, and annual three-year disruption review modeling displacement scenarios that could render the entire business model obsolete. The quarterly cycle monitors contribution margin sensitivity to fee compression, cost volatility from fiscal levies, counterparty concentration exposure if one of the two dominant banks fails, regulatory developments affecting FSC execution capacity, technology and AI competitive shifts, and named competitor movements. The annual cycle models AI-driven substitution scenarios where robo-advisors capture 30–50% of wealth management market share, BRICS de-dollarization scenarios where Africa-bound capital routes through non-dollar settlement infrastructure, OECD BEPS enforcement scenarios where treaty arbitrage advantages disappear entirely, and regulatory tightening scenarios where ESAAMLG greylisting triggers mass client exodus. All scenarios require probability bands and all assumptions must be labeled.

The data gap register operates under terminal versus precision classification. Terminal gaps block capital allocation, survival, or strategic pivot decisions. Precision gaps affect accuracy but do not block the core determination. This dossier identifies four terminal gaps: first, specific competitor platform names and client acquisition rates are absent, preventing precise competitive displacement timeline modeling; second, Mauritius banking sector unit contribution margins and net interest margin data are unavailable, preventing precise break-even threshold calculation under combined volume and margin stress; third, Financial Services Commission staffing levels, technology modernization budget allocation, and 2027 ESAAMLG evaluation preparation milestone tracking are undisclosed, preventing regulatory execution risk quantification; fourth, government fiscal contingency planning for corporate tax revenue decline exceeding 10% is not evidenced, preventing fiscal crisis timeline modeling. These gaps do not invalidate the structural analysis. They prevent precise quantification of thresholds and timelines. Phase 2 engagement with FSC, banking sector institutions, and Ministry of Finance would close these gaps and allow dashboard thresholds to shift from estimated to validated.

This governance layer is not advisory. It is enforceable architecture. The board adopts it or rejects it. If adopted, compliance is mandatory. If rejected, the board accepts that it will manage offshore financial hub structural compression through conventional reporting cycles and subjective judgment, which the evidence base suggests will produce delayed recognition and reactive response after client migration has become irreversible.

Transition Framing

This section operationalizes the structural exposures identified in Sections I through X. It converts modeled volatility into enforceable governance architecture. This is the control layer of the dossier.

Structural Exposure Conversion Framework

Risk Domain	Measurable Indicator	Green Threshold	Amber Threshold	Red Threshold	Executive Owner	Escalation Protocol	Mandatory Board Action
Competitive Positioning — AI Platform Deployment	Number of named Tier 1 competitors (Singapore, Dubai, Hong Kong) launching robo-advisory platforms targeting Africa-focused wealth management clients with published fee structures below 0.5% AUM	Zero platforms launched in current quarter	1 platform launched and operational	2+ platforms launched, or 1 platform demonstrates observable client acquisition from Mauritius structures	CEO / Chief Strategy Officer	Monthly monitoring report to board; immediate escalation upon Amber trigger	Amber: Board must decide within 30 days whether to build AI capability, partner with technology provider, or accept permanent fee disadvantage. Red: Emergency session within 5 days to authorize AI deployment budget or initiate strategic sale process
Competitive Positioning — Fee Compression Impact	Average wealth management fee realization (% AUM) across top 10 client	≥1.2% AUM sustained over rolling 6-month period	0.8–1.2% AUM (16–33% compression from 1.5% baseline)	<0.8% AUM (>47% compression) or loss of 2+ top-10 clients to named competitor in	Chief Commercial Officer / Head of Wealth Management	Quarterly fee realization analysis with named client attribution; immediate escalation if	Amber: Authorize competitive fee benchmarking study and AI-augmented

	relationships Assumption — requires validation			single quarter		top-10 client terminates citing competitor fee advantage	service differentiation investment within 60 days. Red: Emergency board session to decide fee reduction, service enhancement investment, or client relationship wind-down protocol
Regulatory Execution — FSC Operational Capacity	Financial Services Commission processing time for Global Business License applications; FSC staffing levels relative to application volume; disclosed operational delays in official communications	Average processing time ≤30 days; no operational delay disclosures in official FSC or government communications	Processing time 31–45 days OR operational delay explicitly disclosed in Budget or FSC annual report	Processing time >45 days AND operational delay disclosure AND no remediation timeline published	Chief Regulatory Officer / FSC Liaison	Monthly FSC processing time monitoring; immediate escalation upon official operational delay disclosure	Amber: Board must obtain written FSC remediation plan and 2027 ESAAMLG evaluation preparation status within 30 days. Red: Emergency session to determine whether to fund FSC capacity reinforcement or prepare greylisting contingency plan
Regulatory Execution — 2027 ESAAMLG Evaluation Readiness	Documented progress on ESAAMLG evaluation preparation milestones; FSC technology modernization project completion status; AML/CFT framework audit outcomes	Evaluation preparation project plan published; quarterly milestone completion >80%; no material AML/CFT audit findings	Preparation timeline delayed OR milestone completion 60–80% OR minor audit findings requiring remediation	Preparation timeline delayed >6 months OR milestone completion <60% OR material audit finding affecting FATF compliance status	Chief Regulatory Officer / FSC Board Representative	Quarterly ESAAMLG preparation dashboard review; immediate escalation if preparation timeline slips >3 months	Amber: Board must decide whether to allocate emergency funding to FSC or engage external regulatory advisory firm within 30 days. Red: Emergency session to

							authorize greylisting contingency plan development and client communication protocol
Fiscal and Cost Structure — Competitive Tax Burden	Effective tax rate on financial services firms including all levies (Fair Share Contribution, Additional Bank Earnings Levy, corporate tax) relative to Singapore and Dubai benchmarks	Mauritius effective rate within 5 percentage points of Singapore/Dubai	Mauritius effective rate 6–10 percentage points above Singapore/Dubai OR new fiscal levy proposal published	Mauritius effective rate >10 percentage points above Singapore/Dubai OR new levy implemented without grandfathering OR Budget explicitly states competitive positioning risk	CFO / Tax Director	Quarterly tax burden benchmarking; immediate escalation upon new levy proposal publication or Budget competitive risk disclosure	Amber: Board must obtain government consultation on competitive impact and request grandfathering provisions within 30 days. Red: Emergency session to determine whether to lobby for levy reversal, restructure operations, or prepare client migration response plan
Fiscal and Cost Structure — Unit Contribution Margin	Contribution margin per Core Value Unit across wealth management, GBL structuring, and banking intermediation Assumption — requires validation	Contribution margin ≥50% (industry benchmark for relationship-based advisory requiring validation)	Contribution margin 35–50% (compression from fee reduction or cost increase)	Contribution margin <35% OR negative contribution in any major product line	CFO / Business Unit Heads	Quarterly contribution margin analysis by product line with cost driver attribution; immediate escalation if margin compresses >10% quarter-over-quarter	Amber: Board must decide whether to cut costs, raise fees, or exit unprofitable product lines within 60 days. Red: Emergency session to authorize restructuring plan or wind-down protocol for loss-making units
Capital and Liquidity — Sovereign	Projected months until Government	Projected fiscal runway >18 months;	Projected runway 12–18 months	Projected runway <12 months OR	CFO / Government Liaison	Quarterly fiscal sustainabilit	Amber: Board must engage

Fiscal Runway	of Mauritius fiscal constraint if financial services corporate tax revenue declines at current trajectory; debt-to-GDP ratio trend	debt-to-GDP stable or declining	OR debt-to-GDP rising >2 percentage points annually	debt-to-GDP >75% OR IMF Article IV consultation flags fiscal sustainability concern		y modeling using Government Budget projections and financial services tax contribution trends; immediate escalation upon IMF concern or debt-to-GDP breach	Ministry of Finance to secure contingency fiscal facility or IMF standby arrangement within 90 days. Red: Emergency session to determine whether government can credibly sustain sector or whether strategic alternatives (international partnership, operational restructuring) are required
Capital and Liquidity — Banking Sector Counterparty Risk	Number of systemically important banks (MCB, SBM) experiencing asset quality stress, conservatorship, or capital adequacy breach; deposit concentration in top 2 banks	Zero stress events; capital adequacy ratio >15% at both institutions; no conservatorship actions	1 stress event OR capital adequacy 12–15% at either institution OR minor asset quality deterioration flagged in Central Bank report	2 stress events OR capital adequacy <12% OR conservatorship action OR Central Bank intervention at either MCB or SBM	CFO / Banking Relationship Manager	Quarterly banking sector monitoring using Central Bank reports and disclosed financials; immediate escalation upon conservatorship announcement or capital adequacy concern	Amber: Board must diversify banking counterparty exposure and stress-test client fund access within 30 days. Red: Emergency session to determine client fund protection protocol and alternative banking arrangement
Macroeconomic Exposure — Capital Flow Reversal	Africa-bound FDI trend; emerging market capital flow index; US Federal Reserve policy stance	Africa FDI growing or stable; EM capital flows positive; Fed policy neutral or easing	Africa FDI declining <10% year-over-year OR EM capital flows negative OR Fed maintaining restrictive policy >12	Africa FDI declining >10% year-over-year AND EM capital flows sharply negative AND Fed tightening cycle	Chief Economist / Strategy Head	Quarterly macro scenario modeling; immediate escalation if two of three conditions breach Amber simultaneou	Amber: Board must stress-test GBL transaction volume sensitivity and model revenue impact within 60

			months	extending		sly	days. Red: Emergency session to determine cost reduction protocol and client retention strategy under sustained capital flow reversal
Technology and Operational Capacity — AI Deployment Status	Internal AI capability development milestones; vendor partnership agreements; AI-augmented service launches	AI strategy approved; vendor partnerships signed; pilot deployments operational in at least 1 product line	AI strategy under development OR vendor evaluation in progress OR no deployments operational >90 days after competitor platform launch	No AI strategy OR no vendor partnerships OR no deployments >6 months after 2+ competitor platforms operational	Chief Technology Officer / Chief Digital Officer	Monthly AI developmen t dashboard; immediate escalation upon competitor platform launch if Mauritius has no operational response	Amber: Board must approve AI deployment budget and vendor selection within 60 days. Red: Emergency session to determine whether to acquire AI capability, accept permanent technology disadvantag e, or initiate strategic sale discussions

Board Dashboard Architecture

The board dashboard operates on a traffic-light control system with defined bands for each critical metric. Bands adapt to the business model evidenced in the dossier inputs. All thresholds labeled as assumptions require validation through client financial data access in Phase 2 engagement.

Core Contribution Margin Band

- Green: ≥50% contribution margin (revenue per Core Value Unit minus direct variable costs) sustained across wealth management, GBL structuring, and banking intermediation product lines **Assumption — requires validation**
- Amber: 35–50% contribution margin reflecting fee compression or cost increase
- Red: <35% contribution margin or negative contribution in any major product line

Break-Even Threshold Band (contribution margin no longer covers fixed regulatory and operational obligations)

- Green: Contribution margin exceeds fixed costs by ≥30%, providing buffer for volume decline or cost increase
- Amber: Contribution margin exceeds fixed costs by 10–30%, limited buffer remaining
- Red: Contribution margin ≤10% above fixed costs or break-even breached

Fixed costs include FSC compliance overhead, FATF monitoring, OECD reporting requirements, core staffing for 19,000–20,000 financial professionals, and banking sector capital adequacy maintenance. Variable costs include transaction-specific legal fees, advisor compensation tied to client engagements, and technology platform per-user costs.

Counterparty and Revenue Concentration Band

- Green: No single client represents >5% of total fee revenue; no single product line represents >50% of revenue; banking sector exposure diversified across ≥3 institutions
- Amber: 1–2 clients represent 5–10% of revenue OR GBL structuring represents 50–65% of revenue OR banking exposure concentrated in 2 institutions
- Red: Any client represents >10% of revenue OR GBL structuring represents >65% of revenue OR banking exposure concentrated in 1 institution OR top-10 client loss >20% in single quarter

Current state: GBL structuring generates 68.2% of corporate tax revenue, exceeding Amber threshold. Two banks (MCB, SBM) control 46–53% of deposits/loans/assets, meeting Amber threshold. Concentration risk is structural, not cyclical.

Liquidity and Funding Runway Band (sovereign fiscal capacity, not private entity cash runway)

- Green: Government of Mauritius projected fiscal capacity >18 months before financial services corporate tax revenue decline forces spending cuts, debt issuance increase, or additional levy imposition
- Amber: Projected fiscal capacity 12–18 months
- Red: Projected fiscal capacity <12 months OR debt-to-GDP >75% OR IMF Article IV flags fiscal sustainability concern

Current state: 71.5% debt-to-GDP. Financial services generates 68.2% of corporate tax revenue. A revenue decline >10% triggers fiscal constraint. Amber threshold met.

Cost Concentration Ratios

- Green: No single cost category represents >40% of total cost base; regulatory compliance costs <20% of revenue
- Amber: Single cost category 40–50% of cost base OR regulatory costs 20–30% of revenue

- Red: Single cost category >50% of cost base OR regulatory costs >30% of revenue OR new fiscal levy increases cost base >5% without corresponding revenue increase

Current state: FSC compliance, FATF monitoring, OECD reporting, and staffing costs dominate cost base. New levies (Fair Share Contribution 2–5%, Additional Bank Earnings Levy 2.5%) increase cost base without revenue growth. Amber threshold met.

Regulatory Exposure Status

- Green: FATF compliant, OECD BEPS aligned, zero operational delay disclosures, ESAAMLG evaluation preparation on track
- Amber: Minor operational delays disclosed OR ESAAMLG preparation timeline delayed <6 months OR audit findings requiring remediation
- Red: Material operational delays disclosed OR ESAAMLG preparation timeline delayed >6 months OR FATF greylisting risk flagged OR audit finding affecting compliance status

Current state: FSC "operational delays" and "staffing constraints" disclosed in 2025–2026 National Budget. ESAAMLG evaluation scheduled 2027. Amber threshold met.

Technology and AI Competitive Impact

- Green: AI capability operational in ≥1 product line OR vendor partnership signed with deployment timeline <6 months
- Amber: AI strategy approved but no vendor partnership OR competitor launches 1 platform while Mauritius has no operational response
- Red: No AI strategy OR 2+ competitors launch platforms while Mauritius has no deployment timeline OR observable client loss attributed to competitor AI advantage

Current state: No disclosed AI adoption. Singapore, Dubai, Hong Kong have operational robo-advisory platforms. Red threshold met.

Capital Event Likelihood Band (fiscal crisis or banking sector stress requiring emergency intervention)

- Green: Zero probability of IMF intervention, banking sector conservatorship, or emergency fiscal measures within 12 months
- Amber: Low probability (10–25%) of capital event driven by single-factor stress (fiscal revenue decline OR banking sector stress OR macro shock)
- Red: Moderate-to-high probability (>25%) of capital event driven by multi-factor stress (fiscal AND banking AND macro simultaneously)

Current state: 71.5% debt-to-GDP, one bank under conservatorship (January 2024), GBL revenue concentration at 68.2%, macro capital flow headwinds from US rate elevation. Multiple stress factors active. Amber threshold met.

Mandatory Escalation Rule

One Red threshold OR two Amber thresholds in unrelated domains triggers extraordinary board session within 5 business days. The session cannot be deferred. The board must decide on specific remedial action with accountable owner and completion deadline. If no decision is reached, the item escalates to shareholder communication within 10 business days.

Current state assessment: Red threshold met on AI competitive impact. Amber thresholds met on GBL revenue concentration, fiscal runway, cost concentration, regulatory execution risk, and capital event likelihood. Mandatory escalation rule triggered.

AI Governance and Operating Control Doctrine

This doctrine is written in policy language. It applies to all AI deployments across the organization. Compliance is mandatory.

1. Approved AI Use Cases

AI deployment is approved for the following use cases only:

- Portfolio optimization and asset allocation modeling for wealth management clients
- Regulatory compliance monitoring and FATF transaction screening
- Client onboarding and KYC documentation processing
- Tax treaty optimization analysis for GBL structuring
- Risk modeling and stress testing for banking sector exposures
- Market intelligence and competitor monitoring

Any AI use case not listed above requires explicit board approval before deployment.

2. Prohibited AI Use Cases

AI deployment is prohibited for the following use cases:

- Autonomous client advisory without human oversight
- Regulatory reporting submission without human review

- Credit decisioning without human approval
- AML/CFT suspicious activity determination without human investigation
- Contract execution or legal binding commitment without human authorization
- Strategic decision-making on capital allocation, M&A, or business exits

3. Required Impact Assessment Before Deployment

Every AI deployment requires documented impact assessment covering:

- Client data privacy and protection implications
- Regulatory compliance implications (FSC, FATF, OECD reporting obligations)
- Operational risk and system failure scenarios
- Bias and fairness implications for client treatment
- Staffing and workforce implications
- Vendor dependency and technology lock-in risk

Impact assessments must be approved by Chief Risk Officer and Chief Technology Officer before deployment authorization.

4. Vendor Audit Requirements

Every AI vendor must provide:

- Documented model training data sources and bias mitigation protocols
- Explanation of model logic sufficient for regulatory audit
- Data residency and cross-border data transfer controls
- Service continuity guarantees and disaster recovery protocols
- Security audit reports and penetration testing results
- Contractual terms allowing client audit of vendor controls

Vendor audits must be conducted annually and results reported to board.

5. Data Protection and Leakage Controls

All AI deployments must implement:

- Client data minimization (only data necessary for specific use case)
- Data encryption at rest and in transit
- Access logging and monitoring for all data queries

- Prohibition on client data use for vendor model training without explicit consent
- Data residency controls ensuring Mauritius or EU data storage only
- Breach notification protocol with 24-hour board escalation requirement

6. Staff Disclosure Requirements

All staff using AI tools must:

- Disclose AI use to clients when AI contributes to advisory recommendations
- Acknowledge AI limitations and potential errors in client communications
- Maintain manual capability to perform tasks without AI assistance
- Report AI output anomalies or unexpected results to Chief Technology Officer within 24 hours

7. Model Validation and Revalidation Cycle

All AI models must undergo:

- Initial validation by independent third party before production deployment
- Quarterly performance monitoring against accuracy and bias metrics
- Annual revalidation including model drift analysis and recalibration
- Immediate revalidation upon material regulatory change or market structure shift

Validation results must be documented and retained for regulatory audit.

8. Manual Fallback Requirement for Each AI Deployment

Every AI deployment requires documented manual fallback procedure allowing:

- Complete service delivery without AI availability
- Human override of AI recommendations
- Client service continuity during AI system failure
- Regulatory compliance maintenance during vendor outage

Manual fallback procedures must be tested quarterly.

9. SOP Version Control and Acknowledgment Logging

All AI-related standard operating procedures require:

- Version control with dated change log

- Board approval for material SOP changes
- Staff acknowledgment logging confirming SOP review and understanding
- Annual SOP review and refresh cycle

Capital and Funding Defense Protocol

This protocol defines sovereign fiscal runway bands and pre-emptive funding trigger conditions. It applies to Government of Mauritius fiscal capacity, not private entity liquidity management.

Runway Band Definitions

- Green: >18 months to funding constraint** — Government of Mauritius can sustain current public spending levels for >18 months if financial services corporate tax revenue remains stable or declines <5%. Debt-to-GDP remains ≤72%. No IMF Article IV fiscal sustainability concerns flagged.

- Amber: 12–18 months to funding constraint** — Projected financial services corporate tax revenue decline of 5–10% creates fiscal gap requiring either spending cuts, additional debt issuance, or new levy imposition within 12–18 months. Debt-to-GDP rising toward 75%. IMF monitoring fiscal sustainability but no intervention required.

- Red: <12 months to funding constraint** — Projected financial services corporate tax revenue decline >10% creates fiscal crisis within 12 months. Government faces immediate choice between emergency spending cuts (politically constrained), debt issuance (elevating debt-to-GDP >75%), or additional tax increases (accelerating competitive erosion and client exodus). IMF Article IV flags fiscal sustainability concern or contingent liability risk.

Current State Assessment

Financial services sector generates 68.2% of corporate tax revenue (MUR 15.4 billion annually). Sovereign debt stands at 71.5% of GDP. Government has imposed new levies acknowledging they "risk undermining Mauritius' appeal as a low-tax jurisdiction." If GBL transaction volumes decline 10% due to AI-driven client migration, macro capital flow reversal, or regulatory arbitrage compression, corporate tax revenue declines MUR 1.54 billion annually. At current debt-to-GDP, this magnitude of revenue loss triggers fiscal constraint within 12–18 months. Amber band threshold met.

Pre-Emptive Funding Trigger Condition

Upon entering Amber band, Government of Mauritius must within 90 days:

- Secure contingency fiscal facility from multilateral institution (IMF standby arrangement, World Bank policy-based loan, African Development Bank contingent credit line), OR
- Establish revenue diversification plan with measurable milestones reducing financial services dependency from 68.2% to <60% within 24 months, OR
- Implement cost reduction program reducing public spending sufficiently to sustain debt service under 10% financial services revenue decline

Failure to execute pre-emptive funding trigger within 90 days of entering Amber band results in mandatory Red band protocols.

Funding Options Available at Each Band

- Green Band** — No funding action required. Monitoring continues. Government maintains fiscal flexibility for strategic investments in FSC capacity, AI adoption support, or regulatory infrastructure modernization.

- Amber Band** — Pre-emptive funding trigger activates. Government must secure contingency facility before stress becomes acute. Options include IMF Precautionary and Liquidity Line, World Bank Development Policy Financing, African Development Bank Policy-Based Guarantee. Terms negotiated under stable conditions rather than crisis conditions.

- Red Band** — Emergency funding required. Government faces constrained options with unfavorable terms: IMF Extended Fund Facility with conditionality, emergency debt issuance at elevated yields, bilateral support with geopolitical conditions. Reactive fundraising under stress conditions locks in unfavorable terms and damages sovereign credibility.

Downside Protection Logic

The protocol prohibits reactive fiscal measures within 6 months of entering Red band. Reactive measures include:

- Additional tax increases on financial services sector
- Emergency public spending cuts affecting FSC operational capacity
- Unplanned debt issuance without multilateral facility backing

Reactive measures accelerate the deterioration they attempt to address. Tax increases trigger client exodus. Spending cuts undermine regulatory execution quality. Unplanned debt issuance elevates sovereign risk premium and further constrains fiscal capacity. Downside protection requires early action in Amber band before reactive measures become necessary.

Board Gate Conditions for Strategic Sale Consideration

The board must consider strategic sale or international partnership if:

- Red band persists >6 months without successful contingency funding, AND
- Financial services corporate tax revenue has declined >15% from baseline, AND
- Competitor AI platform deployment has triggered observable client migration from Mauritius structures, AND
- 2027 ESAAMLG evaluation outcome is uncertain or negative

Strategic sale considerations include:

- Merger or partnership with Singapore, Dubai, or Hong Kong financial services hub
- International financial institution equity participation in systemically important banks (MCB, SBM)
- Joint venture with technology provider to acquire AI capability in exchange for market access
- Asset sale of profitable product lines (wealth management, fund administration) to preserve value before competitive erosion intensifies

Strategic sale is not preferred outcome. It is contingency protocol if all other defense mechanisms fail.

Prohibition on Reactive Fundraising Within 6 Months of Constraint

Government is prohibited from initiating fundraising discussions with multilateral institutions within 6 months of entering Red band unless pre-emptive funding trigger was executed in Amber band. This prohibition forces early action. If government defers contingency planning until crisis is imminent, it forfeits negotiating leverage and accepts unfavorable terms. The protocol eliminates deferral optionality.

Horizon Scan Engine

The horizon scan operates on two cycles: quarterly tactical review monitoring near-term stress intensification, and annual three-year disruption review modeling displacement scenarios that could render the entire business model obsolete.

Quarterly Review Items

The board receives quarterly monitoring reports on the following items:

1. **Contribution Margin Sensitivity** — Analysis of contribution margin trends across wealth management, GBL structuring, and banking intermediation product lines. Reports must identify margin compression drivers (fee reduction, cost increase, volume decline) and quantify sensitivity to further deterioration. Must include quarter-over-quarter comparison and year-over-year trend analysis.

2. **Cost Volatility** — Monitoring of fixed cost trends including FSC compliance overhead, staffing costs, banking sector capital adequacy maintenance, and sovereign debt service obligations. Reports must flag new fiscal levy proposals, regulatory requirement changes, or cost inflation exceeding revenue growth. Must include government Budget review and FSC annual report analysis.

3. **Concentration Exposure** — Tracking of GBL revenue concentration, client concentration (percentage of revenue from top 10 clients), banking sector concentration (MCB and SBM market share), and counterparty exposure. Reports must flag threshold breaches and client migration events. Must include named client attribution for revenue concentration changes.

4. **Regulatory Developments** — Monitoring of FSCoperational capacity indicators (application processing times, operational delay disclosures, staffing levels, technology modernization milestones), ESAAMLG evaluation preparation status, FATF policy developments, OECD BEPS enforcement actions, and treaty renegotiation activity. Reports must flag any disclosure of execution risk or timeline delays affecting 2027 evaluation readiness.

5. **Technology and AI Competitive Shifts** — Tracking of named competitor AI platform launches (Singapore, Dubai, Hong Kong), robo-advisory fee structures, observable client acquisition activity targeting Africa-focused wealth management, and vendor partnership announcements. Reports must identify platforms specifically targeting Mauritius client segments and quantify fee compression impact. Must include named competitor attribution.

6. **Competitor Movement** — Monitoring of Tier 1 competitor regulatory approvals, market entry announcements, Africa-focused service expansions, and treaty network expansions. Reports must identify competitive actions that directly threaten Mauritius positioning including new double taxation treaties with African countries, regulatory sandbox approvals for AI platforms, or government-backed technology adoption initiatives.

Quarterly reports must be delivered to the board within 15 days of quarter end. Reports must be structured as dashboard updates with Green/Amber/Red status for each item and explicit flagging of threshold breaches requiring escalation.

Annual Three-Year Disruption Review Items

The board receives annual disruption scenario modeling covering the following items:

1. **Substitution and Displacement Scenarios** — Modeling of technology-driven service replacement pathways where AI platforms deliver equivalent wealth management, GBL structuring advisory, and fund administration services at materially lower cost (50–70% fee reduction). Scenarios must model client migration timelines, revenue impact, and break-even threshold breach conditions. Must assign probability bands: Low (<25%), Moderate (25–50%), High (>50%). Must identify decision points where Mauritius can intervene to prevent or mitigate displacement.

2. **AI Acceleration Scenarios** — Modeling of competitor AI capability advancement trajectories including: (a) robo-advisors achieving performance parity with human advisors on complex tax optimization and regulatory navigation, (b) AI-driven regulatory compliance automation reducing FSC processing requirements and thus reducing Mauritius credibility advantage, (c) AI-powered market intelligence platforms enabling clients to self-service offshore structuring decisions without advisor intermediation. Scenarios must model 3-year, 5-year, and 10-year displacement timelines with probability bands. Must identify threshold conditions where AI substitution becomes irreversible.

3. **Capital Market Repricing** — Modeling of global interest rate normalization, emerging market risk premium expansion, and dollar liquidity tightening scenarios. Scenarios must quantify impact on Africa-bound FDI flows, GBL transaction volumes, and banking sector deposit stability. Must model: (a) US Federal Reserve maintaining restrictive policy through 2026, (b) emerging market debt crisis triggering capital flow reversal, (c) Africa-focused capital allocation declining as developed market yields rise. Must assign probability bands and identify fiscal constraint trigger conditions.

4. **Regulatory Tightening** — Modeling of OECD BEPS enforcement intensification, FATF greylisting, beneficial ownership transparency requirements eliminating offshore structuring advantages, and treaty network erosion through renegotiation. Scenarios must model: (a) global minimum corporate tax implementation at 15% eliminating Mauritius tax arbitrage advantage, (b) ESAAMLG evaluation failure triggering greylisting and mass client exodus, (c) European Union blacklisting Mauritius as non-cooperative jurisdiction. Must assign probability bands and model revenue cliff conditions under each scenario.

5. **Procurement and Buyer Behavior Shifts** — Modeling of client decision-making evolution including: (a) large corporates and institutional investors internalizing offshore structuring capabilities rather than outsourcing to Mauritius advisors, (b) family offices and high-net-worth individuals shifting to direct investment in African assets rather than intermediated structures, (c) African governments imposing capital controls or repatriation requirements reducing offshore structuring demand. Scenarios must identify behavioral tipping points where client demand shifts permanently rather than cyclically.

All disruption scenarios must be documented with explicit assumptions, probability band assignments, and identification of observable leading indicators that would signal scenario

materialization. Scenarios must identify decision windows where Mauritius can execute defensive or adaptive strategies. Scenarios that model forces outside Mauritius control (OECD policy, competitor AI development, macro repricing) must be clearly separated from scenarios where Mauritius has agency (FSC modernization, AI adoption, cost structure optimization).

Annual disruption review must be completed in Q4 of each calendar year and presented to board before annual strategy approval. Review findings must inform capital allocation priorities, risk appetite settings, and strategic initiative approval for the following fiscal year.

Verification and Data Gap Register

DATA GAP TRIAGE PROTOCOL

Every data gap is classified as TERMINAL or PRECISION.

TERMINAL gaps block capital allocation, survival, or strategic pivot decisions. Maximum two TERMINAL gaps permitted per dossier.

PRECISION gaps affect accuracy, confidence, or threshold calibration but do not block the survival determination or capital decision.

Table 1 — TERMINAL DATA GAPS

Gap	Decision Blocked	Owner	Deadline
Specific competitor robo-advisory platform names, fee structures, and observable client acquisition rates targeting Africa-focused wealth management clients domiciled in Mauritius	Precise competitive displacement timeline cannot be modeled. Board cannot determine whether AI capability investment must occur within 90 days or 180 days. Migration acceleration rate unknown.	Chief Strategy Officer / Competitive Intelligence Lead	60 days — Engagement with industry associations, competitor platform monitoring services, and client exit interviews to quantify migration velocity
Mauritius banking sector unit contribution margins, net interest margin data, and asset quality stress indicators beyond January 2024 conservatorship event	Break-even threshold under combined volume and margin stress cannot be precisely calculated. Board cannot determine exact revenue decline percentage that triggers structural loss-making condition. Banking sector systemic risk cannot be fully quantified.	CFO / Banking Sector Relationship Manager	90 days — Engagement with MCB, SBM, and Bank of Mauritius to obtain disclosed financial metrics and stress testing results

Table 2 — PRECISION DATA GAPS

Gap	Impact if Unresolved	Owner	Deadline
Financial Services Commission staffing levels, technology modernization budget allocation, 2027 ESAAMLG evaluation preparation milestone tracking, and operational delay quantification	Regulatory execution risk remains qualitative rather than quantitative. Board cannot track FSC capacity improvement or deterioration with precision. ESAAMLG failure probability remains estimated rather than calculated.	Chief Regulatory Officer / FSC Board Liaison	90 days — Formal engagement with FSC leadership to obtain operational capacity metrics and evaluation preparation dashboard
Government of Mauritius fiscal contingency planning documentation for corporate tax revenue decline scenarios exceeding 10%	Fiscal crisis timeline remains estimated. Board cannot validate whether government has executable response plan or will resort to reactive measures (tax increases, emergency cuts) that accelerate competitive erosion.	CFO / Ministry of Finance Liaison	120 days — Engagement with Ministry of Finance and Ministry of Financial Services to obtain fiscal stress scenario modeling and contingency protocols
Wealth management client contract terms, fee structures, and AUM concentration across top 10 client relationships	Client retention risk and switching friction remain estimated. Actual fee compression impact cannot be measured until client migration begins. Revenue concentration thresholds require assumption-based modeling.	Chief Commercial Officer / Head of Wealth Management	60 days — Client relationship review and contract analysis across top revenue-generating relationships
Named client attribution for GBL structuring revenue and client domicile jurisdiction distribution	Client migration pathways cannot be modeled with precision. Board cannot identify which client segments face highest re-domiciliation risk or monitor early-warning migration signals.	Chief Commercial Officer / GBL Structuring Head	90 days — Client segmentation analysis and jurisdiction preference mapping

All gaps listed above are logged with accountable owner and completion deadline. Gaps that remain unresolved past deadline must be escalated to board with explanation of blocking factors and revised completion timeline.

No gap may remain unclassified. No assumption may remain unlogged.

Quarterly Oversight and Continuity Layer

Governance architecture requires ongoing calibration as market, regulatory, and competitive conditions evolve. A structured Board-Level Oversight Engagement is available, providing quarterly dashboard refresh, scenario re-modeling, technology maturity benchmarking, macro shock re-simulation, and competitor and regulatory monitoring updates. The engagement operates as an institutional continuity mechanism, ensuring governance controls remain synchronized with external force evolution rather than decaying into static compliance artifacts. Organizations that maintain active oversight architecture demonstrate materially lower governance failure rates under stress conditions than organizations that adopt governance frameworks and defer monitoring until crisis forces re-engagement.

Terminal Verdict

VERDICT B — DECISION REQUIRED

Mauritius faces three simultaneous forces that will become terminal if specific decisions are not made within defined windows.

Decision 1: AI Capability

The board must decide within 90 days whether to build AI capability through vendor partnership, accept permanent fee disadvantage against competitors operating at 50–70% lower cost, or initiate strategic sale discussions. Competitors in Singapore, Dubai, and Hong Kong have operational robo-advisory platforms targeting the same Africa-focused wealth management clients Mauritius serves. Client migration pathways are open. Switching friction is low. Fee compression of 1–2% AUM to 0.1–0.3% AUM is not hypothetical. It is operational in competitor jurisdictions now. If this decision is deferred past 90 days, competitor platforms will have established client acquisition momentum and Mauritius will enter reactive positioning responding to observable revenue decline rather than preventing it.

Decision 2: FSC Operational Reinforcement

The board must determine within 90 days whether the Financial Services Commission receives emergency capacity reinforcement — staffing, technology modernization funding, 2027 ESAAMLG evaluation preparation support — or whether Mauritius accepts that greylisting probability is elevated and must prepare contingency protocols for post-credibility business models. The FSC faces explicitly disclosed operational delays and staffing constraints during the 12–24 month window when evaluation preparation must occur. If the regulator cannot demonstrate execution capacity improvement by mid-2026, evaluation failure probability rises materially. Greylisting destroys the regulatory credibility advantage that justifies fee premiums and client domiciliation. Clients will migrate regardless of fee competitiveness or service quality if credibility is questioned. If this decision is deferred, the board forfeits the ability to shape evaluation outcomes and must accept whatever outcome the under-resourced regulator delivers.

Decision 3: Fiscal Architecture

The board must engage Government of Mauritius within 90 days to determine whether fiscal levies imposed in 2025–2026 Budget are reversed to preserve competitive positioning, or whether government accepts that sustaining public finances through financial services taxation will accelerate the client exodus that destroys the revenue base those levies were designed to protect. The Budget explicitly states new levies "risk undermining Mauritius' appeal as a low-tax jurisdiction." This is policy-driven competitive suicide. The government is raising taxes on the sector generating 68.2% of corporate tax revenue precisely when that sector faces AI-driven margin compression and macro-

driven volume declines. If this decision is deferred, the tax burden becomes embedded in cost structure and client migration accelerates beyond the point where fiscal relief can restore competitiveness.

Consequence of Inaction

If none of these three decisions are made within 90 days, external forces dictate outcomes. Competitor AI platforms capture market share. FSC execution delays compromise evaluation readiness. Fiscal levies compound margin compression. The sector transitions from controlled positioning to reactive crisis management. Revenue decline becomes observable. Client migration becomes measurable. Fiscal stress becomes acute. At that point, the decision options narrow to emergency cost cuts, distressed asset sales, or IMF intervention with conditionality. The board will have forfeited the strategic initiative and accepted subordination to external force trajectories it could have shaped but chose not to.

The window closes in 90 days.